QUARTERLY INVESTOR REPORT

Zephyr Office Center | Louisville, KY

Investment	Zephyr Office Center
Quarter	2Q 2026
Report Date	March 5, 2023
Sponsor	Granite Lane Realty
Occupancy	95.3%

Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Weighted average lease term remaining is 9 years and in-place rents average $30 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts.

Projected levered IRR is 12.8% with an equity multiple of 1.42x over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Weighted average lease term remaining is 5 years and in-place rents average $30 per square foot, full service gross.

Leasing and Marketing

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Service requests are tracked through a work-order system with an average completion time of 30 hours. The building features a renovated lobby, structured parking at a ratio of 30 per 1,000 square feet, and a tenant lounge with fitness center. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 47 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 5 years and in-place rents average $30 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Risk Considerations

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 8.0% on contributed capital. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 18 per 1,000 square feet, and a tenant lounge with fitness center. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Projected levered IRR is 11.8% with an equity multiple of 1.39x over the hold period. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Weighted average lease term remaining is 3 years and in-place rents average $30 per square foot, full service gross. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Floor plates are efficient and column-spacing supports open and private-office layouts.

Management Commentary

Weighted average lease term remaining is 5 years and in-place rents average $30 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 46 hours. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 16 per 1,000 square feet, and a tenant lounge with fitness center.

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